

S Northgate Ave — Development Options at a Glance

Vacant 0.58-acre flag lot (25,281 sq ft) adjoining the owners' residence · Portland, OR 97219 · Tax account R547474

DRAFT v1 — July 20, 2026

Pending: preliminary title report (disclosed non-utility easement unidentified)

Jurisdiction: City of Portland (annexed) · Council District 4 | **Zoning:** R20 — no c/p/z overlays observed | **Schools:** Riverdale SD 51J | **Access:** pole meets S Northgate Ave right of way | **Utilities at boundary (seller disclosure 6/2026):** public water access (hook-up charge unknown), public sewer available, electric, gas, phone, internet | **Survey:** ROS 68582 (2023) | No soil tests; no known contamination

	A — Rental house + detached ADU RECOMMENDED BASELINE	B — Duplex, hold both units BEST PURE YIELD	C — Single rental house SIMPLEST BUILD	D — Consolidate lots: compound LIFESTYLE + ONLY LAWFUL STR
Concept & program	~2,400 sq ft long-term rental house + 800 sq ft detached ADU for visiting family (leasable when idle). One lot, by-right path.	One ~3,000 sq ft structure, two ~1,500 sq ft units, both leased long-term. Allowed on every buildable R20 lot.	One ~2,400 sq ft house, leased long-term. Cleanest permit path; add an ADU later if desired.	Merge with owners' lot; build accessory to the existing home: detached ADU (the "tiny home"), workshop w/ studio above, sport court in the screened flag body. Phase-able.
Cost, excl. land*	\$1.35M – \$1.70M (house \$1.0–1.2M; ADU \$250–330K SDC-exempt w/ covenant; site + SDCs + sprinklers)	\$1.30M – \$1.50M (hard cost \$1.15–1.3M; two-unit SDCs; site; sprinklers)	\$1.10M – \$1.35M (hard cost \$1.0–1.2M; SDCs; site; sprinklers)	\$0.8M – \$1.1M full scope — ADU \$250–350K; workshop + studio \$450–600K; court \$60–120K; elements stand alone
Gross income / mo	\$4,800–\$5,800 house; + \$2,000–\$2,400 ADU when leased = up to \$6,800–\$8,200	\$3,000–\$3,600 per unit = \$6,000–\$7,200	\$4,800–\$5,800	\$2,000–\$2,400 (ADU long-term) — or STR upside in family-visit gaps
Approx. gross yield**	4–5% (both units leased)	4–4.5%+ — strongest cash-on-cost	3–4% — appreciation / wealth-storage play	~2% — lifestyle-weighted
Short-term rental	No — no operator resides on site	No — no operator resides on site	No — no operator resides on site	Yes — Type A permit (owners live on consolidated site); STR of ADU repays waived SDCs
Family guest space	Yes — the ADU	Possible — hold one unit open (forgoes its rent)	Not until an ADU is added	Yes — the ADU / studio
Key watch-outs	ADU on site blocks future middle-housing unit division; most site work of A–C; FAR caps total size	Design so it reads as one house in an estate-scale pocket; unit division for separate sale = clunky shared-pole easements (fallback only); thinner duplex comps	Weakest income per dollar; same flag premium spread over less rent	Hard to reverse — re-division must meet R20 standards; forfeits separate-lot value & independent sale; court abuts rear yards (noise / lighting siting)
Best for	Income and dedicated family space at the same time	Maximum cash flow from the land	Simplicity, low management, long-hold appreciation	Family lifestyle, phased budget, and the only lawful STR route

Open diligence before the ranking hardens: (1) preliminary title report + the disclosed non-utility easement instrument (and any Palatine Hill / West Palatine Ridge CC&Rs; — private restrictions can trump zoning) (2) legal-lot confirmation — parcel was assembled from multiple plat pieces + a 1947 street vacation; more than one legal lot upgrades everything (3) city-maintained street check at the frontage (precondition for the duplex + detached-ADU combo) (4) official overlay / infill-options confirmation with a City planner (5) geotechnical recon (West Hills slope drives foundations & retaining) (6) utility quotes — sewer lateral down the pole; water hook-up charge unknown (7) stormwater infiltration test · tree survey · boundary pins

*Planning ranges, roughly ±25%, July 2026; include \$40–80K flag-lot site premium and 13D fire sprinklers where noted. **Gross yield adds a \$500K land-basis placeholder (replace with contract price) and excludes vacancy, operating costs, and property tax. Not legal, tax, investment, or engineering advice — verify all items with the City of Portland and licensed professionals.